

12 THE GUIDELINE BUDGET

CATEGORY 1: HOUSING

The largest category in most budgets is "Housing." Average-income families struggle most with this category. An "average" couple earn about \$24,000 a year, are between the ages of 24 and 29, and have 2 children. They're operating off of two salaries and have less than two weeks' income in savings. About 60 percent of the couples below the age of 35 rent, and about 35 percent are buying a home. The other 5 percent live with parents, own a home, or have some unique situation. The initial step into debt for most young couples begins with an overcommitment to housing. All too often they have qualified to buy a home by borrowing the down payment (usually from a relative) and combining two incomes.

I *always* counsel young couples to avoid making long-term commitments based on his and her incomes. Inevitably, something will happen to interrupt the wife's income. I recommend that they save the wife's income for single purchase events, such as a down payment, an automobile, or vacation, but all monthly expenses be calculated based on the husband's salary *only*, particularly long-term commitments such as a home mortgage.

To figure a young wife's money into your budget virtually guarantees an eventual disaster. One such "disaster" is pregnancy. Several years ago I had a young wife call at about 3 in the morning, announcing, "We have an emergency."

"What kind of emergency?" I asked.

"I'm pregnant."

"Well, just how pregnant are you?"

"Seven months."

"That's not much of an emergency."

She replied, through obvious tears, "It is now, because we don't have the money for the baby."

This couple, as many others, laid no money aside, and had purchased a home based on her income and his. Their financial situation was rapidly going from bad to worse. Until they de-